

Literature and Lecture Outline

Intermediate Macroeconomics, EC2211

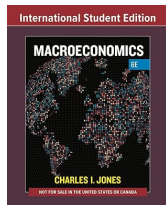
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Literature

- Textbook: Charles I. Jones (2024), *Macroeconomics*, W.W. Norton, 6E International Student Edition.
- Lecture notes (=presentation slides) and problem sets: These are important parts of the course. They also indicate what material and models you should focus on.
- Articles and policy reports: These are for policy perspectives or in-depth understanding. You should look more closely at articles marked by a *. Don't get stuck on technical material that we have not covered in class.



Preliminary lecture outline

L1. Course introduction

National accounts, prices and productivity; growth facts; mathematical preliminaries

Literature: Jones, chapters 1-3

L2. Economic growth and the Solow model

A model of production; growth accounting; the Solow model

Literature: Jones, chapters 3-5

Recommended reading: [Gordon \(2014, sections 1-3.3\)](#); [Jones \(2023\)](#) ; [Draghi \(2024, pages 5-19\)](#)

L3. More on the Solow model

Human capital; finite natural resources; Malthus and the dismal science

Literature: Jones, chapter 5; [*Steinsson \(2025a\)](#)

L4. Productivity, ideas and long-term economic growth

The AK model; the Romer model; growth accounting; institutions and growth

Literature: Jones, chapter 6

Recommended reading: [Royal Swedish Academy of Sciences \(2018\)](#); [Royal Swedish Academy of Sciences \(2024\)](#)

L5. Household behavior

Labor supply; the labor market; unemployment; consumption; investment

Literature: Jones, chapters 7, 16 and parts of 17; *[Steinsson \(2025b, sections 1-2 and 4-4.4\)](#)

L6. The short run

Economic fluctuations ("business cycles"), the IS curve; monetary policy; the Phillips curve; the IS-MP-PC framework

Literature: Jones, chapters 8-12

Recommended reading: [Buiter and Rahbari \(2015\)](#); [Cerrato and Gitti \(2023\)](#)

L7. The short run

Propagation of economic fluctuations, multipliers; the AS-AD model; the Taylor rule for monetary policy

Literature: Jones, chapters 9-13

Recommended reading: [Giannone and Primiceri \(2024\)](#); [Nakamura, Riblier and Steinsson \(2025\)](#)

L8. Money and money supply

Financial markets in the macroeconomy; money and central banking; the time-inconsistency problem of monetary policy

Literature: Jones, chapters 8-14

Recommended reading: [McLeay, Radia and Thomas \(2014\)](#); [Royal Swedish Academy of Sciences \(2022\)](#)

L9. Fiscal policy

Ricardian equivalence; debt sustainability; fiscal multipliers; automatic stabilizers

Literature: Jones, chapters 11, 16 and 18

Recommended reading: [Edelberg, Harris and Sheiner \(2025\)](#)

L10. Exchange rates and the international monetary system

Purchasing power parity; interest-rate parity; the open-economy IS curve; the trilemma of international macroeconomics; dollar dominance

Literature: Jones, chapter 20

Recommended reading: [Miran \(2024\)](#); [Bénassy-Quéré \(2025\)](#)

L11. Trade, tariffs and international capital flows

The current account balance; tariffs

Literature: Jones, chapter 19

Recommended reading: [Kohlscheen et al. \(2025\)](#); [Klitgaard \(2025\)](#)

L12. Review

References

References (1)

- Bénassy-Quéré, Agnès (2025), *Is the international monetary system "unfair"?*, Banque de France
- Buiter, Willem and Ebrahim Rahbari (2015), *What is a (global) recession?*, Citi Global Economics View
- Cerrato, Andrea and Giulia Gitti (2023), *Inflation since covid: supply versus demand*, voxEU column
- Draghi, Mario (2024), *The future of European competitiveness*, European Commission
- Edelberg, Wendy, Benjamin Harris and Louise Sheiner (2025), *Assessing the risks and costs of the rising US federal debt*, Brookings Economic Studies
- Giannone, Domenico and Giorgio Primiceri (2024), *The drivers of post-pandemic inflation*, voxEU column

References (2)

- Gordon, Robert J. (2014), *The demise of U.S. economic growth*, N.B.E.R. Working Paper 19895
- Jones, Charles I. (2023), *The outlook for long-term economic growth*, paper for the Jackson Hole Symposium
- Klitgaard, Thomas (2025), *Why does the U.S. always run a trade deficit?*, Liberty Street Economics, Federal Reserve Bank of New York
- Kohlscheen, Emanuel, Phurichai Rungcharoenkitkul, Dora Xia and Fabrizio Zampolli (2025), *Macroeconomic impact of tariffs and policy uncertainty*, Bulletin No 110, Bank for International Settlements
- McLeay, Michael, Amar Radia and Ryland Thomas (2014), *Money in the modern economy*, Bank of England Quarterly Bulletin
- Miran, Stephen (2024), *A user's guide to restructuring the global trading system*, Hudson Bay Capital

References (3)

- Nakamura, Emi, Venance Riblier and Jón Steinsson (2025), *Beyond the Taylor rule*, paper for the Jackson Hole Symposium
- Royal Swedish Academy of Sciences (2018), *Integrating nature and knowledge into economics*, The Prize in Economic Sciences, popular science background
- Royal Swedish Academy of Sciences (2022), *The laureates explained the central role of banks in financial crises*, The Prize in Economic Sciences, popular science background
- Royal Swedish Academy of Sciences (2024), *They provided an explanation for why some countries are rich and others poor*, The Prize in Economic Sciences, popular science background
- *Steinsson, Jón (2025a), *Malthus and pre-industrial stagnation*, manuscript
- *Steinsson, Jón (2025b), *Work and leisure*, manuscript